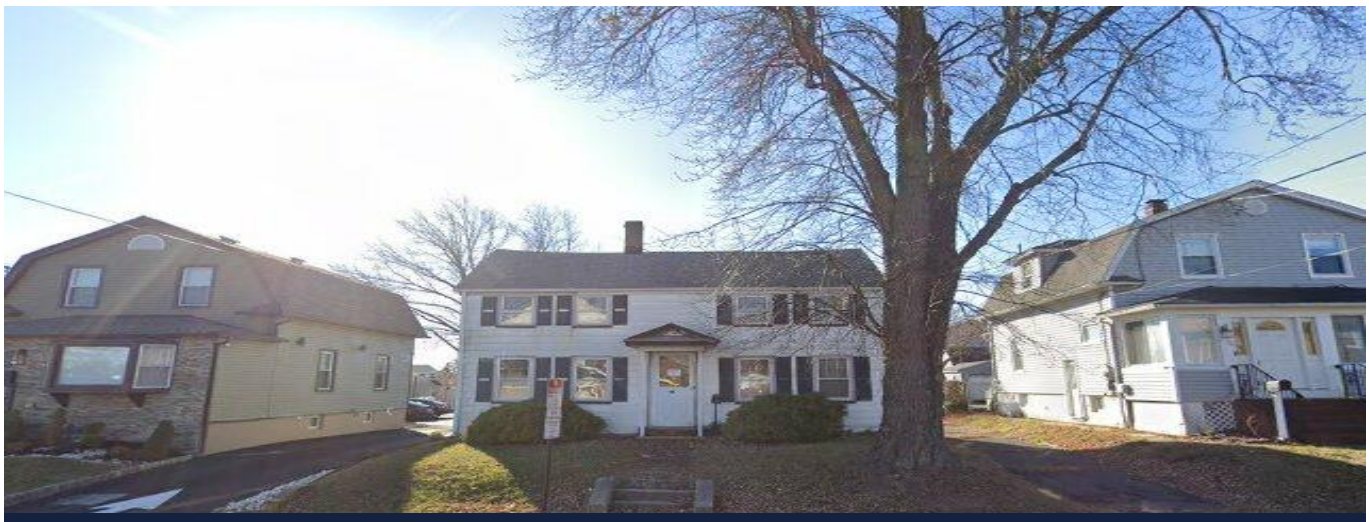


SUBJECT PROPERTY | EXTERIOR STREETVIEW

VERDICT: PASS | INVESTMENT SCORE: 15/100

PROPERTY & VALUATION SNAPSHOT

Property Type	Single-Family Residence
Beds	3
Baths	1
Year Built	c. 1878

Asking Price	$399,900
Est. As-Is TMV	$350,000
Est. ARV	$546,500
Est. Renovation Budget	$157,500

EXECUTIVE SUMMARY

This investment memorandum concludes that 157 Westfield Avenue represents an unviable opportunity for a buy-and-hold investor. The property is a distressed, uninhabitable 1870s structure requiring a capital-intensive gut renovation with significant construction and regulatory risks. The pro-forma financials reveal severe negative leverage, with a projected annual negative cash flow exceeding $12,000 and a Debt Service Coverage Ratio (DSCR) of 0.57, making permanent financing unattainable. The extended time on market and 'As-Is' sale conditions further underscore the property's deep-seated issues, positioning it as a value trap rather than a value-add opportunity.

FINANCIAL PERFORMANCE

The financial structure of this investment is fundamentally flawed, characterized by severe negative leverage that renders the buy-and-hold strategy untenable. The projected unlevered return, a 3.17% Capitalization Rate on total project cost, is dwarfed by the estimated 6.0% cost of debt. This inversion ensures that every dollar of debt added to the capital stack actively destroys cash flow, leading to a projected annual loss of $12,688. This is not a temporary issue during stabilization but a permanent structural deficit based on current market rents and values.

Critically, the resulting Debt Service Coverage Ratio (DSCR) of 0.57 is less than half the 1.20-1.25 minimum required by virtually all lenders for permanent financing on a residential investment property. This financial reality makes the 'Refinance' component of a BRRRR strategy impossible, creating a catastrophic exit risk from any short-term acquisition or construction loan. An investor would be unable to recapitalize the project and would be left with a non-performing asset requiring a continuous and substantial cash infusion to service debt.

OPERATING PRO-FORMA

Gross Annual Rent	$33,600
Vacancy Loss (Est. 5%)	($1,680)
Effective Gross Income (EGI)	$31,920
Operating Expenses (Incl. Taxes)	($15,120)
Net Operating Income (NOI)	$16,800
Annual Debt Service	($29,488)
Monthly Cash Flow	($1,057)

YIELD & RETURN METRICS

Cap Rate (on Total Cost)	3.17%
Cash-on-Cash Return	-10.6%
Debt Service Coverage Ratio (DSCR)	0.57

RENOVATION & CAPEX ANALYSIS

The property requires a complete gut renovation, as it is currently uninhabitable and lacks all essential utilities. The scope of work extends far beyond cosmetic updates and constitutes a total systemic overhaul. Given the c. 1878 construction, a complete electrical rewiring is mandatory to replace presumed knob-and-tube systems, and a full plumbing replacement is necessary. The project must also include the installation of a new HVAC system. The high probability of hazardous materials, including lead-based paint and asbestos, necessitates a significant budget for professional abatement. The most critical and unpredictable element is the buyer's responsibility to secure a Certificate of Occupancy, which will likely trigger extensive, code-mandated upgrades that are currently unknown.

ITEMIZED CAPEX BUDGET

Category	Est. Cost	Priority
Major Systems (Elec, Plumb, HVAC)	$45,000	High
Structural, Foundation & Abatement	$25,000	High
Interior Gut (Kitchen, Bath, Drywall)	$60,000	High
Exterior & C of O Compliance	$20,000	Medium
Permits & Contingency	$7,500	High

MARKET & ZONING INTELLIGENCE

The property is located in Clark, a stable Union County suburb that functions as a 'commuter belt' town for the New York City metro area. The broader Northern New Jersey market is characterized by a structural housing supply deficit and robust long-term demand, which provides a strong floor for property values. However, the micro-location presents headwinds that challenge the investment thesis. While the rental market is healthy with a median rent of $2,800, the area has experienced only modest recent appreciation of 1.6%. Furthermore, a crime rate that is notably above the national average could deter high-quality tenants and limit rental rate growth, failing to provide the income velocity needed to overcome the project's poor initial economics.

ENVIRONMENTAL & LOCATIONAL FACTORS

Nearest Transit	Rahway & Cranford NJ Transit Stations
Crime Rate Status	Above National Average (26.48/1000)
Flood Zone	Zone X (Minimal Risk)
Wetlands	No Known Issues
Contamination	No Known Issues

TAX ASSESSMENT & APPEAL STRATEGY

A Chapter 123 tax appeal analysis reveals that the property is not eligible for a tax reduction in its current state. Based on an estimated 'as-is' True Market Value of $350,000 and the current assessment of $304,000, the property's subject ratio of 86.8% falls squarely within the municipality's legally protected 'Common Level Range' of 68.01% to 92.01%. Filing an appeal would be rejected by the county tax board as the assessment is considered fair. Investors must instead anticipate a significant tax increase post-renovation. Upon stabilization, the tax assessor will likely adjust the assessment to reflect the After-Repair Value of $546,500, leading to a substantial rise in annual property taxes, which has been factored into the negative cash flow projections.

CHAPTER 123 TAX METRICS

Current Assessment	$304,000
Director Ratio	80.01%
Upper Limit (Appeal if TMV < $330,399)	92.01%
Lower Limit (Risk if TMV > $446,993)	68.01%
Est. Tax Savings	$0 (Not Eligible for Appeal)

IDENTIFIED CRITICAL RISKS

- Financial Viability Risk: The project is fundamentally unprofitable as a rental, with a DSCR of 0.57 making permanent financing unattainable. This creates a catastrophic exit risk from any short-term acquisition/construction loan.

- Construction & Budget Risk: The 1870s structure presents a high likelihood of severe budget overruns due to unforeseen structural issues, rot, and extensive hazardous material abatement. The $157,500 budget is a base case with significant upside risk.

- Regulatory & C of O Risk: The buyer bears full responsibility for obtaining a Certificate of Occupancy. The municipality could mandate unforeseen, cost-prohibitive upgrades to bring the 150-year-old structure to modern code, stalling the project indefinitely.

- Valuation Risk: The entire model depends on achieving an ARV of $546,500. A lower appraisal would destroy the already non-viable refinance economics and require a massive cash infusion from the investor.

MITIGATION STRATEGIES

- Financial Viability Mitigation: The only mitigation is to pivot from a BRRRR strategy to a speculative flip. This requires acquiring the property at a drastically lower price (e.g., ~$225,000) to create a sufficient profit margin after renovation and sale. The buy-and-hold model cannot be mitigated.

- Construction & Budget Mitigation: Secure a fixed-price contract with a highly experienced general contractor specializing in historic gut renovations. Build a substantial contingency fund (20-25% of the renovation budget) to absorb inevitable overruns.

- Regulatory & C of O Mitigation: Engage a local architect and expediter before closing to consult with the Clark building department. Understand the full scope of required upgrades to obtain the C of O and incorporate these costs into the pro-forma.

- Valuation Mitigation: Conduct a detailed comparable sales analysis for recently renovated historic homes in the immediate area. Obtain a preliminary opinion of value from a local appraiser before committing to the purchase.